Labor to phase in EV road user charge

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The Albanese government is working on a plan to phase in a road user charge that would begin with a trial of heavy electric vehicles before being applied to all electric cars.

As Prime Minister Anthony Albanese backed Treasurer Jim Chalmers' view that the government had a mandate to implement the charge before the next election, industry sources familiar with deliberations said drivers of lighter electric and other low-emissions vehicles initially would be spared.

There are very few heavy electric vehicles such as trucks, vans and buses, on the road, meaning the initial application of the charge would be light touch.

According to the EV Council, there are currently only around 700 electric trucks on the road. Excluding vans, the number drops to around 450. But the government is conscious of the July 1, 2027 deadline, which is when a road user charge will apply to all electric and hybrid vehicles in NSW.

Frustrated with more than a decade of inaction from successive federal governments, NSW has designed a scheme that will begin from July 1, 2027, or when EVs make up 30 per cent of all new vehicle sales, whichever comes first.

The charge will start at 2.874c per kilometre for battery EV and hydrogen fuel cell EVs, or 2.379c for a plug-in hybrid EV. It will be indexed to inflation each year. The NSW scheme, which will not go ahead if there is a federal scheme in place, is still at risk of being ruled unconstitutional should there be a High Court challenge, as occurred in Victoria in 2023.

A road user charge is deemed necessary to replace the fuel excise that will be lost as petrol and diesel cars exit the fleet. Excise, currently 51¢ per litre, raises about $17 billion a year and is ostensibly given to the states to maintain and build roads.

Albanese said roads would continue to need funding, regardless of the types of vehicle using them. He noted the government had committed in the lead-up to the last election to a $7 billion upgrade of the Bruce Highway.

"We need money to ensure that roads are adequate and that is a long held belief. I'm an infrastructure minister guy," he said.

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Treasurer Jim Chalmers

In a business speech in February this year, Chalmers nominated establishing a road user charge as a tax reform priority for the government's next term.

Because the government initiated discussions with the states during the last term regarding a national scheme, both Albanese and Chalmers said that effectively acted as a mandate to move ahead with the charge, rather than take it to another election, as they intend to do with any other tax adopted from next week's productivity roundtable.

Albanese and Chalmers on Wednesday appeared in lock step after holding private talks on the need to rein in public expectations of the roundtable, amid concerns the government was losing control of the policy agenda.

"On EVs, we made it clear before the election publicly that we were working with the states and territories on a regime," Chalmers said on Wednesday.

"We'll take the time to get that right. We haven't settled on a model or on timing when it comes to that change, but clearly a government of either political persuasion will need to make changes there, because the excise take on petrol will come down as petrol vehicles exit the fleet."

Chalmers will meet his state counterparts on Friday, and they have already listed a road user charge as a key outcome they want from the summit.

In 2016, the Turnbull government made the first serious attempt to design a road user charge but abandoned the process due to opposition from the Nationals, who complained a per-kilometre charge would unfairly affect rural people who drove long distances.

Former Liberal MP Paul Fletcher, who was the minister at the time, disagreed with the decision to abandon the process and this week urged Labor to get on with it. The Coalition has pledged its support and the fear is the longer the government takes, the tougher the politics becomes because more people will be driving EVs.

According to new figures published by the Australian Automobile Association on Wednesday, demand for electric vehicles hit a new record in the three months to June 30, accounting for just under 10 per cent of all new car sales.

Australians purchased 29,244 battery electric vehicles in the second quarter of 2025, up from 17,901 in the three months to March 31.

The AAA is Australia's peak motoring body and compiles its quarterly EV index using data from national and state sources.

New sales of pure battery electric vehicles have otherwise been relatively flat since 2023, the AAA data shows, while hybrid electric vehicle sales have surged over the same period.

Internal combustion engine vehicles took a slight hit to their otherwise commanding 72 per cent market share, accounting for 226,306 vehicle sales in the second quarter, while 46,732 Australians walked out of a car lot with an EV hybrid over the same period.

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